higher education & training

Department:
Higher Education and Training
REPUBLIC OF SOUTH AFRICA

NATIONAL CERTIFICATE (VOCATIONAL)

ENTREPRENEURSHIP
NQF LEVEL 2

(3021042)

22 November 2019 (Y-Paper)
13:00–15:30

This question paper consists of 8 pages.

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TIME: 2½ HOURS
MARKS: 100

INSTRUCTIONS AND INFORMATION

1. Answer ALL the questions.
2. Read ALL the questions carefully.
3. Number the answers according to the numbering system used in this question paper.
4. Start each section on a NEW page.
5. Use only BLUE or BLACK ink.
6. Write neatly and legibly.

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SECTION A

QUESTION 1

Various options are given as possible answers to the following questions. Choose the answer and write only the letter (A–D) next to the question number (1.1–1.15) in the ANSWER BOOK.

1.1 A person who is innovative, takes calculated risks and has a passion and drive to start their own business.

A Entrepreneurship
B Expert
C Entrepreneur
D Enterprise

1.2 It is ONE way of competing with competitors in the business environment.

A Employment
B Better customer services
C Financial control
D Social need

1.3 It favours small businesses to do well or flourish.

A Employment opportunities
B Inflation
C Brainstorming
D Attitude

1.4 Identifying opportunities is an example of … .

A threats
B a good quality
C a characteristic
D Both B and C

1.5 ONE of these methods fall under primary data.

A Branding
B Experimentation
C Statistics
D Resource centres

1.6 Sales – cost of sales =

A gross sale
B net profit
C gross profit
D None of the above

1.7 ... can identify mistakes in your business idea.

A Work schedule
B Business plan
C Financial plan
D Cover page

1.8 Deciding which tasks are most important and most urgent so that they can be handled first.

A Prioritising
B Planning
C Scheduling
D Deadlines

1.9 Describes both the manufacturing process and the equipment needs:

A SWOT analysis
B Operations plan
C Contingency plan
D Micro-environment

1.10 Document from which financial records are compiled:

A Recent document
B Delivery note
C Income statement
D Source document

1.11 Influences the pricing of the product:

A Skimming
B Competitors
C Convenience
D Both B and C

1.12 The … is an overview of your proposed business.

A executive summary
B cover page
C legal document
D title page

1.13 It is about informing potential customers about products and why they should buy them.

A Promotion
B Observation
C Internet
D Sampling

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1.14 Instrument you can use to investigate the internal environment of your business:

A Market segmentation
B SWOT analysis
C Questionnaire
D Break-even point

1.15 A competitor is a … in a business.

A strength
B skill
C source
D threat

(15 × 1) **[15]**

QUESTION 2

Indicate whether the following statements are TRUE or FALSE. Choose the answer and write only 'True' or 'False' next to the question number (2.1–2.15) in the ANSWER BOOK.

2.1 A SWOT analysis allows us to plan properly and use our strengths to our best advantage.

2.2 A business plan can be used as a roadmap or guideline when the business is up and running.

2.3 The external environment is also referred to as the micro-environment.

2.4 Legal documents and tax returns are placed under supporting documents in a business plan.

2.5 The ability to organise is one of the characteristics needed by an entrepreneur to meet managerial requirements.

2.6 Copyright is the registration of a name, a unique mark or a word that distinguishes your product.

2.7 Information from market research can be used to make decisions on the price of the product.

2.8 Resource centres, libraries and statistics are some of the common sources of secondary data.

2.9 Break-even analysis is part of the management plan.

2.10 Capital is a resource that entrepreneurs need to achieve success.

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2.11 Creditors, bank overdrafts and taxes are examples of long-term liabilities.

2.12 The business diary records all important activities of the business.

2.13 Outsourcing is an agreement to use an existing business idea for a fee.

2.14 A credit note is an example of a source document.

2.15 A mentor is a wiser colleague who can pass on knowledge and experience.

(15 × 1) **[15]**

TOTAL SECTION A: 30

SECTION B

QUESTION 3

Read the scenario below and answer the questions.

INFORMAL TRADING PUTS FOOD ON THE TABLE, ARMED WITH DETERMINATION AND A LITTLE START-UP MONEY

After struggling to find employment, Hlengiwe Ngidi of Lamontville, Durban, turned to street vending to make a living and received a street vending permit from the eThekwini municipality.

Armed with determination and a little start-up money, she took to the streets of Durban to cook and sell food.

The bubbly Ngidi cooks breakfast and lunch for taxi drivers of the Umlazi township. Her tent in downtown Durban shelters her customised kitchen, which has a gas stove and a table and chairs. The delicious smell of beef stew, which she serves with phuthu, lures customers to her.

Ngidi says she realised that her business was progressing fast and when she saw a gap in the market, she took it. No one was cooking breakfast and lunch for taxi drivers using the Umlazi rank in the central business district.

I decided to take a loan from the local society in my area. I remember I asked for a R3 500 loan to start the business. Ngidi employs two people who help her prepare and deliver meals. A typical day starts at 7:00 when she collects her tent and stove from storerooms around the city and ends after lunchtime when all the food has been sold.

I start by preparing breakfast, which includes beef liver, eggs and four slices of bread. For lunch, I alternate between beef and chicken stew with rice or phuthu served with two side salads. Breakfast costs R14, while lunch is R16 for a small and R22 for a large portion.

I work Monday to Friday every week. It costs me R920 to buy stock every week. On a typical day, I make about R300, money that sustains my family of six.

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3.1 Advise Hlengiwe on what causes most businesses to fail. Mention three ways in which she can avoid this challenge. (3 × 2) (6)

3.2 How would the following external factors negatively affect Hlengiwe's business?

3.2.1 Unemployment

3.2.2 Inflation

3.2.3 Crime

(3 × 2) (6)

3.3 Hlengiwe was armed with determination. This means that she was confident that she would succeed. This is ONE characteristic of an entrepreneur.

Mention the other FIVE characteristics of an entrepreneur. (5)

3.4 A business plan would have helped Hlengiwe to secure the start-up loan.

3.4.1 Mention THREE benefits of a business plan. (3 × 2) (6)

3.4.2 Mention any THREE components of a business plan. (3)

3.5 Rather than the smell of the food luring the customers, Hlengiwe can use advertising to inform customers about her business.

3.5.1 Mention THREE goals of advertising. (3)

3.5.2 Name TWO advertising media that Hlengiwe can use. (2)

3.6 Hlengiwe operates in a competitive environment.

List FOUR ways in which she can compete better with the competitors. (4)
[35]

QUESTION 4

4.1 Let us assume that Hlengiwe sells 11 breakfasts and 13 lunches (small) in a day.

4.1.1 Calculate the total sales per day. (5)

4.1.2 Calculate Hlengiwe's profit per week. (4)

4.2 Hlengiwe's new supplier has changed prices. The cost of her weekly stock has increased by 6%.

Calculate the new profit per week. (6)
[15]

QUESTION 5

5.1 Hlengiwe can use a task list in her business.

Compile FOUR tasks that she has to complete in the course of her working day. (4)

5.2 A diary can help Hlengiwe to manage her time effectively.

Explain the following types of diaries that she can use.

5.2.1 Electronic diaries

5.2.2 Year planner

5.2.3 Desk diary

(3 × 2) (6)

5.3 Will Hlengiwe succeed as an entrepreneur? (1)

5.4 State TWO reasons to justify your answer in QUESTION 5.3 above. (2)

5.5 Give FOUR reasons why entrepreneurs are important in South Africa. (4)

5.6 Explain what is meant by competitive advantage. (2)

5.7 Mention the competitive advantage of Hlengiwe's stall. (1)

[20]

TOTAL SECTION B: 70
GRAND TOTAL: 100

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